Capital Adequacy and Risk Management Report

(Basel Pillar 3 Disclosures)



For the year ended 31 December 2018

بنك أبوظبي الأول
FAB
First Abu Dhabi Bank
Grow Stronger

1. Introduction

This document presents the Pillar 3 disclosures of FAB ("the Group") on a consolidated basis as at 31 December 2018. The purpose of Pillar 3 disclosures is to allow market participants to assess key pieces of information on the firm's capital, risk exposures and risk assessment process.

The Group is regulated by the Central Bank of UAE (CBUAE) and follows the Pillar 3 disclosure requirements as stated under the CBUAE guidelines, issued in November 2009, on the implementation of Basel II accord. CBUAE also initiated Basel III regulatory reporting in 2017 with new capital standards for UAE Banks.

The Pillar 3 disclosures are to be read in conjunction with the Audited Financial Statements as of 31 December 2018.

2. Regulatory Framework

The Group assesses its capital adequacy based on the rules published in November 2009 by the CBUAE. The framework is structured around the following three Pillars:

- Pillar 1 on minimum capital requirements for credit, market and operational risk
- Pillar 2 on the supervisory review process and the Internal Capital Adequacy Assessment Process (ICAAP)
- Pillar 3 on market discipline

2.1 Pillar 1 – Minimum Capital Requirement

Pillar 1 defines the total minimum capital requirements for credit, market and operational risk. FAB currently uses standardized approach for assessment of Credit, Market and Operational Risk weighted assets (RWA). Under the standardized approach, regulatory prescribed risk weights and parameters are applied to calculate Pillar 1 capital requirements.

During 2011, Basel Committee on Banking Supervision (BCBS) officially announced the final set of revised regulatory capital rules known as "Basel III", which are being phased in globally. Subsequent to Basel III consultation paper issued by CBUAE In 2016, new capital adequacy regulations were issued by CBUAE on 02 March 2017. The new capital regulations became effective from 1st February 2017.

CBUAE has put in regulatory thresholds for Common Equity Tier 1, Tier 1 and overall regulatory Capital.

1. CET1 must be at least 7.0% of risk weighted assets (RWA)
2. Tier 1 Capital must be at least 8.5% of RWA
3. Total Capital, calculated as the sum of Tier 1 Capital and Tier 2 Capital, must be at least 10.5% of RWA

On top of this minimum capital requirement CBUAE has also mandated the Banks to keep additional buffers.

1. In addition to the minimum CET1 capital of 7.0% of RWA, banks must maintain a capital conservation buffer (CCB) of 2.5% of RWAs in the form of CET1 capital

2. To achieve the broader macro-prudential goal of protecting the banking sector from periods of excess aggregate credit growth and in addition to the CCB requirements, banks may be required to implement the countercyclical buffer (CCyB). Banks must meet the CCyB requirements by using CET1 capital. The level of the CCyB requirements will vary between 0% - 2.5% of RWA and be communicated by the Central Bank with an adequate notice period

3. Banks classified as domestically systemically important banks will be required to hold additional capital buffers of 1.5% applied to CET1.

The additional capital buffer requirements are to be phased in over 3 years. These requirements are summarized in the table below:

Capital Element	Basel III 2017	Basel III 2018	Basel III 2019
Minimum Common Equity Tier 1 Ratio	7.0%	7.0%	7.0%
Minimum Tier 1 Capital Ratio	8.5%	8.5%	8.5%
Minimum Capital Adequacy Ratio	10.5%	10.5%	10.5%
Capital Conservation Buffer	1.25%	1.875%	2.5%
Domestic Systemically Important Banks Buffer	0.75%	1.125%	1.5%
Countercyclical buffer	0% - 1.25%	0% -1.875%	0% - 2.5%

CBUAE has also released revised Capital standards for Basel III capital instruments. Capital instruments that no longer qualify as non-common equity Tier 1 or Tier 2 capital will be phased out over 10 years starting from January 2018.

The capital ratios for the Group are given below:

Capital Element	2018
Common Equity Tier 1 Ratio	12.4%
Tier 1 Capital Ratio	14.6%
Capital Adequacy Ratio	15.7%

All of these are well above the CBUAE minimum.

a) Credit Risk

The Group uses the standardized approach to calculate RWA for credit risk. It uses risk weights to convert exposures into RWA as per the CBUAE guidelines which can range between 0% for certain sovereign exposures to 952% for certain categories (akin to deduction). Where applicable, mainly for unfunded, exposures are adjusted for credit conversion factor (CCF) in accordance with the CBUAE guidelines.

Credit Risk Capital = Net Exposure x CCF x Risk Weight x capital requirement%

For non-retail exposures the risk weights are driven by credit ratings published by external credit agencies approved by the CBUAE.

b) Market Risk

The Group uses the standardized approach to calculate RWA for market risk as per the CBUAE guidelines. In calculating RWA for market risk, the Group distinguishes between general and specific risk and between holdings in the trading book and holdings outside the trading book. The risk is quantified for positions for Interest rate risk, Foreign exchange risk, Equity investments risk, Commodities exposure risk and Options risk.

c) Operational Risk

The Group applies the standardized approach for calculating capital requirement for operational risk for year-end 2018. The calculation is based on average operating income for the past 3 years and classification of the operating income into 8 Basel classification lines - Corporate Finance, Trading and Sales, Payment & Settlement, Commercial Banking, Agency Services, Retail Brokerage, Retail Banking and Asset Management. Capital requirement is calculated for each of the business lines as per their respective multipliers as per BIS which range from 12% to 18%. The RWA for operational risk are calculated by dividing the capital requirement by CBUAE capital requirement multiplier.

2.2 Pillar 2 - ICAAP and Supervisory Review Process

The Group performs annual ICAAP exercise with comprehensive risk assessment and stress testing and the results are submitted to the CBUAE for supervisory review process. Key highlights of the ICAAP are listed below.

- Define risk appetite of the Group
- Undertake projection of key financials, risk profile, and capital position
- Assess and quantify, where material risks which are not/partially covered under Pillar 1 (e.g. not covered - Concentration risk, Reputation Risk, Strategic Risk, Compliance Risk, Liquidity Risk, IRRBB etc.)
- Conduct a stress test to assess the robustness and vulnerability of Group's business model to a change in business environment

The ICAAP exercise is led by the Risk Management Group in coordination with Finance, Business and Strategy teams. This is independently reviewed by the Internal Audit team of the Bank.

2.3 Pillar 3 – Market Discipline

The Group, on an annual basis, discloses detailed qualitative and quantitative information on its risk management practice and capital adequacy in line with the CBUAE Pillar 3 guidelines.

2.4 Differences between Financial Statements and Basel III Reporting of Credit Risk Exposures

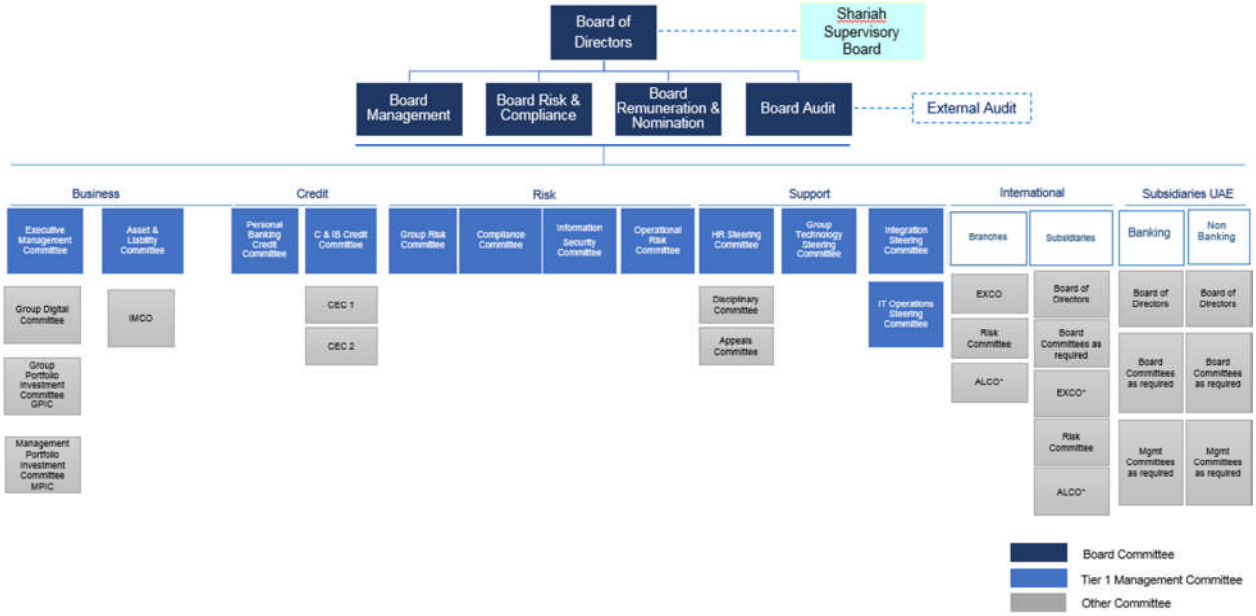
Credit risk exposures reported under Basel III differ in respect of the following vis-à-vis financial statements:

- As per CBUAE Basel framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into equivalent credit exposures
- Intangible assets & Goodwill are deducted from Capital and not taken under credit risk assets
- Commercial subsidiaries are completely deconsolidated and only the investments in those entities are taken for risk weighting purposes; Any intra group loans to such entities are treated as third party loans for risk weighting purposes
- Under the comprehensive credit risk mitigation approach under the standardized approach, eligible collaterals are considered subject to regulatory haircuts to estimate and report net exposure
- Commercial subsidiaries are not consolidated but risk weighted for investments in those entities
- General provisions are not netted off against loans but used as Tier 2 capital up to 1.25% of Credit RWA

3. Group Risk Governance

The Board is the principal decision-making forum for FAB and its responsibilities include approving the strategy; setting its risk appetite and risk management strategy; monitoring financial performance; establishing the corporate governance framework; and approving the company's corporate values. The Board is also responsible for providing oversight and challenge to senior management across a range of matters including its execution of the agreed strategy and for Board and executive management succession planning. The Board formally meets at least four times a year.

The role of the CEO and the executive management team is to execute the agreed business strategy within the agreed risk appetite. It is also the responsibility of the executive team to develop a mechanism by which FAB's vision; values and behaviors are successfully shared, communicated and imbedded in the business. Much of this is achieved through the work of the Executive Management Committee and other senior Management Committees. The executive management team is also responsible for timely and accurate reporting to the Board and Board Committees and for the escalation of appropriate information or items. The following exhibit provides in brief structure of the Board, the Board committees and the management committees across the group.



3.1 Board Committees

a) The Board Management Committee (BMC)

The BMC approves and oversees execution of FAB's business plan per the strategy approved by the board and oversees and reviews material aspects of the business of FAB. The committee meets quarterly or more frequently as deemed necessary. The BMC includes 4 Board Members including the Chairman, GCEO. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

b) The Board Audit Committee (BAC)

The BAC ensures oversight of the effectiveness of the internal control systems and the quality and integrity of financial statements and financial reporting. In addition, it reviews, approves and oversees the internal and external audit programs and ensures coordination between internal and external auditors. The Group Chief Audit Officer ("GCAO") provides reports to the Committee on internal controls. The Committee meets quarterly or more frequently as deemed necessary. The BAC includes 3 Board Members including the Chairman of the board, GCEO and GCAO. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

c) The Board Remuneration and Nomination Committee (BREMCO)

The REMCO recommends and oversees the appointment and termination of Group Board Directors and succession planning for the Group Executive Committee members. This includes an assessment of the skills, knowledge and expertise needed to ensure they are positioned to discharge their responsibilities in the interests of the shareholders and FAB Group. The Committee also reviews and recommends to the Board FAB's reward framework, approves and oversees reward design and ensures it is appropriate and consistent with the FAB Group's culture,

values, business performance and risk strategy. The Committee meets at least twice a year or more frequently as deemed necessary. The BREMCO includes 3 Board Members including the Chairman of the board, GCEO, GCHRO. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

d) The Board Risk and Compliance Committee (BRCC)

The BRCC provides oversight and advice to the Group Board in relation to current and potential future risk and compliance exposures of the FAB Group. It also considers and helps direct future risk strategy, including determination of risk appetite and tolerance as well as promote a risk and compliance awareness culture among the Group. The Committee meets quarterly or more frequently as deemed necessary. The BRCC includes 3 Board Members including the Chairman of the board, GCEO, GCRO. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

3.2 Management Level Committees

a) Group Executive Committee (ExCo)

The Group ExCo is FAB Group's most senior management level committee and it operates under a delegated authority from the FAB Board. It is responsible for identifying matters required or appropriate for escalation to the Group Board or Board Committees. The Group ExCO also supports the Group Chief Executive Officer to determine and implement the Bank's strategy as approved by the FAB Board.

The key responsibilities of the Committee include decisions on the Bank's strategy, annual budgets, capital management, risk management and FAB's more material policies and procedures. The Group EXCO may delegate certain authorities and powers to management committees and individuals, but the EXCO reserves the authority to deal with strategy, annual budget and structure; financial reporting and controls; capital management; risk and internal control; contracts; corporate governance matters; executive remuneration and human resources policies, and group policies generally; general meeting of shareholders and communication and any other matters in its discretion.

b) Group Risk Committee (GRC)

GRC oversees the Group-wide risk strategy and exposures to enable integrated risk management in an effective manner. GRC approves and periodically monitors the Group's risk appetite along with its related methodology, parameters, targets, and tolerances taking into account the Bank's strategy and business planning. The GRC will report relevant matters to the Group EXCO, and as appropriate the BRCC, advising and informing them as required on the Group's risk appetite and framework.

c) Group Compliance Committee (GCC)

GCC assists the Board Risk & Compliance Committee ("BRCC") in fulfilling its objective of overseeing the Bank's regulatory responsibilities as well as ensuring the Bank's compliance with the applicable laws and regulations issued by various regulatory authorities across the Group. The Committee also oversees that the relevant policies and procedures, including, but not limited to the Group Code of Ethics are complied with across the Group.

d) Corporate and Investment Banking Credit Committee (CIBCC)

CIBCC assists EXCO in the development and implementation of the Group's Corporate & Investment Banking business credit strategy and policies and procedures. The purpose of the Committee is to oversee the credit and lending strategies and objectives of the Group, including identifying and managing the Group's Corporate & Investment Banking credit exposures and its response to trends affecting those exposures. It also assists in reviewing the quality and performance of the Group's credit portfolio; and overseeing the Corporate & Investment Banking credit function of the Group, including reviewing internal credit risk and credit policies and establishing portfolio limits.

e) Personal Banking & Wealth Credit Committee (PBWCC)

PBWCC assists EXCO in the development and implementation of credit strategy, for personal banking & wealth businesses. The Committee has been set up in order to ensure a holistic overview of the business strategies across the Personal Banking & Wealth businesses of the Group. The Committee oversees the credit and lending strategies, identifies and manages business credit strategy and strategic response to trends affecting the businesses; reviews the quality and performance of the portfolio; and oversees the credit risk management function including establishing product portfolio limits.

f) Group Asset & Liability Committee (G-ALCO)

G-ALCO assists the BOD and Board Committees in fulfilling its responsibility to oversee the Group's asset and liability management (ALM) related responsibilities. GALCO is directly accountable to the BRCC for ensuring that the risks within the Group Asset and Liability position are prudently managed by way of strong Group policy and procedures and an appropriate risk framework. The objective of GALCO is balance sheet management design and strategy and constant oversight of interest rate risk and liquidity risk with the primary goal of achieving optimal return while ensuring adequate levels of liquidity within an effective risk control framework.

g) HR Steering Committee (HRSC)

HRSC assists the Group EXCO and the REMCO to implement strategic and operational HR initiatives to deliver the Group's long term shareholder value. It provides a forum to discuss and approve HR initiatives and policies to ensure that the needs of the organisation from an employee's perspective are considered and changes, as necessary, are approved or are submitted for approval to the relevant governance body. The Committee will be the formal sponsor of all material HR initiatives across the Bank in line with the Bank's Employee Value Proposition ("EVP").

h) Integration Steering Committee (ISC)

ISC was established to provide direction on all matters relating to the post-merger integration process. It is the main approving authority for all integration policies and procedures and, as such, all lower-level integration committees report to the Integration Steering Committee. The ISC meets fortnightly and is chaired by the GCEO.

i) Group Operational Risk Committee (GORC)

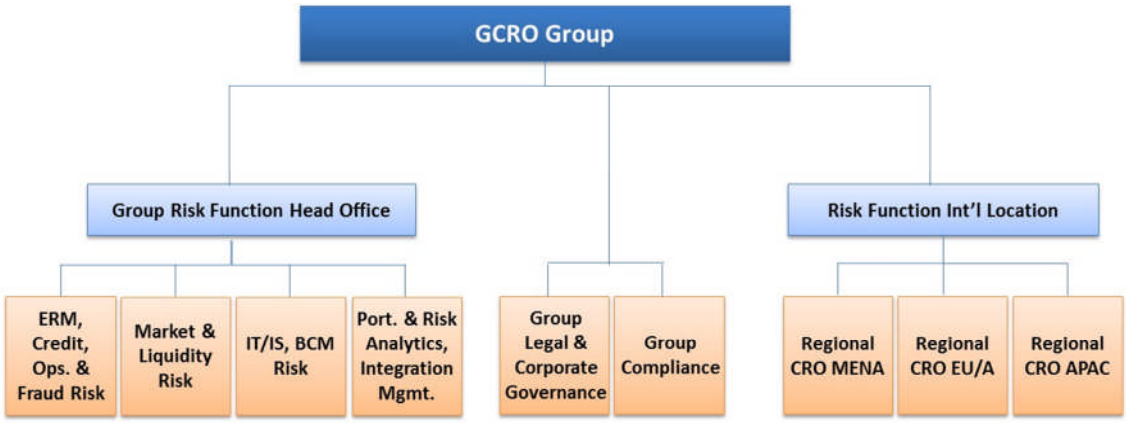
GORC assists the Group Risk Committee in fulfilling its objective of overseeing the Bank's operational risk and fraud risk management responsibilities. Responsibility areas of the GORC include identifying, measuring, managing, reporting of the Bank's operational risk and fraud risk profile.

j) Information Security Committee (InfoSec Committee)

Information Security Committee assists the BRCC and the GRC in overseeing, reviewing and taking decisions on the implementation of FAB's security controls to ensure that information assets of the Bank are adequately protected. It also serves as an independent and objective governance forum which ensures the adequacy and effectiveness of the Bank's information security framework.

3.3 Group Risk

FAB has a centralized risk management function – Group Risk Management which is led by the GCRO. The function comprises of Enterprise Risk Management Unit, Credit Risk Management Unit, Operational Risk Management Unit, Fraud Risk Management Unit, Market & Liquidity Risk Management Unit, Information Security & Business Continuity Management, Group Compliance, Group Legal & Corporate Governance and Risk Integration and Portfolio Analytics unit. It is the nerve center for collection of data, analysis of risk drivers, interpretation of outcome and its wide dissemination to relevant committees for risk management. Following diagram provides Group Risk and Compliance Organization Structure at FAB.



4. Risk Appetite

Risk Appetite of a bank is the single most important factor in determination of risk tolerance and setting risk target and risk limits across various dimensions and risk types. It reflects an organization's risk management philosophy and in turn influences its culture and operating style. Risk Appetite, if properly articulated, understood and implemented proves to be the cornerstone of an organization's ERM framework. The risk appetite framework for FAB has been developed using the top down approach.

The entire risk appetite framework has been designed & implemented through three tiered mechanism. This methodology has been approved by the Executive Management Committee and the BRCC. As per this methodology FAB has adopted a three-tiered structure for the Risk Appetite Framework. The Tier 1 & Tier 2 framework was reviewed and enhanced for the changes in risk metrics and thresholds based on changes in business model and budgetary targets. The brief description of the three-tiered structure is given hereunder:

1. **Tier 1 - FAB Level:** This level pertains to the risk appetite at the FAB level which includes business groups, support groups and material subsidiaries. A comprehensive set of risk & performance metrics have been provided; these have been classified as primary metrics, and monitoring metrics. In addition, there are some qualitative and zero tolerance metrics articulated at FAB level.

2. **Tier 2 - Business & Support Groups:** In line with the leading industry practices, FAB level risk appetite is cascaded down to individual business groups and subsidiaries. Tier 2 signifies the cascading of Group level metrics down to the business such as CIB, PB&W, GT, International Locations, and Subsidiaries etc. In line with the leading industry practices, FAB level risk appetite is cascaded down to individual support groups such as Legal, Information Security, Human resource, COO etc. Tier 2 for support function will get operationalize subsequently. Risk appetite would further be cascaded down one level (referred to as Tier 2.5) to business sub units or sub segments.

3. **Tier 3 - Embedding and implementation of Risk Appetite:** In order to implement the Risk Appetite Framework, the above-mentioned risk appetite metrics have been embedded in respective policies and procedures, KPIs and balance scorecards, and risk MIS.

5. Capital Management

The Group is governed by CBUAE guidelines on regulatory capital requirements on a consolidated basis, including all its subsidiaries and overseas branches. In addition to capital management at Group level, the overseas branches and subsidiaries are directly supervised by their local regulators for operations carried out by those specific entities.

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1. Information on Subsidiaries & Significant investments

	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries				
First Abu Dhabi Bank USA N.V. (formerly NBAD Americas N.V.)	Curacao	100%	Banking	Full Consolidation
FAB Securities LLC	United Arab Emirates	100%	Brokerage	Full Consolidation
Abu Dhabi National Leasing LLC	United Arab Emirates	100%	Leasing	Full Consolidation
Abu Dhabi National Properties PJSC	United Arab Emirates	100%	Property Management	Full Consolidation
FAB Private Bank (Suisse) SA	Switzerland	100%	Banking	Full Consolidation
First Abu Dhabi Islamic Finance Pvt. JSC	United Arab Emirates	100%	Islamic Finance	Full Consolidation
Abu Dhabi Securities Brokerage Egypt	Egypt	96%	Brokerage	Full Consolidation
National Bank of Abu Dhabi Malaysia Berhad	Malaysia	100%	Banking	Full Consolidation
NBAD Employee Share Options Limited	United Arab Emirates	100%	Shares and Securities	Full Consolidation
SAS 10 Magellan	France	100%	Leasing	Full Consolidation
National Bank of Abu Dhabi Representações Ltda	Brazil	100%	Representative office	Full Consolidation
NBAD Financial Markets (Cayman) Limited	Cayman Islands	100%	Financial Institution	Full Consolidation
Nawat Management Services - One Man Company LLC	United Arab Emirates	100%	Services	Full Consolidation
Mismak Properties Co. LLC (Mismak)	United Arab Emirates	100%	Real estate investments	Full Consolidation
Moora Properties Co LLC (Subsidiary of Mismak)	United Arab Emirates	67%	Real estate investments	Full Consolidation
First Merchant International LLC (FMI)	United Arab Emirates	100%	Real estate investments	Full Consolidation
FAB Employment Services (Subsidiary of FMI)	United Arab Emirates	100%	Resourcing Services	Full Consolidation
FAB Resourcing Services (Subsidiary of FMI)	United Arab Emirates	100%	Resourcing Services	Full Consolidation
FAB Sukuk Company Limited	Cayman Islands	100%	Special purpose vehicle	Full Consolidation
FGB Sukuk Company II Limited	Cayman Islands	100%	Special purpose vehicle	Full Consolidation
First Gulf Libyan Bank	Libya	50%	Banking services	Full Consolidation
FGB Global Markets Cayman Limited	Cayman Islands	100%	Financial Institution	Full Consolidation
FAB Properties LLC	United Arab Emirates	100%	Management and brokerage of real estate properties	Full Consolidation
Aseel Finance PJSC	United Arab Emirates	100%	Islamic finance	Full Consolidation
Dubai First PJSC	United Arab Emirates	100%	Credit card finance	Full Consolidation
First Gulf Information Technology LLC	United Arab Emirates	100%	IT Services	Full Consolidation
FAB investment KSA (Single Shareholder LLC)	Kingdom of Saudi Arabia	100%	Financial Institution	Full Consolidation
Significant Investments				
Midmak Properties LLC	United Arab Emirates	16%	Real Estate Management / Investments	Invesment
Mercury Payments Services LLC	United Arab Emirates	30%	Investments and Payment Service Schemes	Invesment
Emirates Digital Wallet LLC	United Arab Emirates	23%	Financial Institution	Invesment

2. CONSOLIDATED CAPITAL STRUCTURE

All numbers in AED 000s

Details

Capital Base	Summary Note and References	Amount
1. Common Equity Tier 1 (CET1) Capital		
1.1 Share Capital	Note 25 of Financial statements	10,897,545
1.2 Share premium account		53,188,043
1.3 Eligible Reserves		8,778,913
1.4 Retained Earnings / (-) Loss		8,614,013
1.5 Eligible amount of minority interest		361,722
1.6 Capital shortfall if any		-
CET1 capital Before the regulatory adjustments and threshold deduction		**81,840,236**
1.7 Less: Regulatory deductions	Goodwill, intangible assets & DTA	20,902,078
1.8 Less: Threshold deductions		-
Total CET1 capital after the regulatory adjustments and threshold deduction		**60,938,159**
2. Additional Tier 1 (AT1) Capital		
2.1 Eligible AT1 capital (After grandfathering)	Note 26 of Financial statements	10,754,750
2.2 Other AT1 Capital e.g. (Share premium, minority interest)		
Total AT1 capital		10,754,750
3. Tier 2 (T2) Capital		
3.1 Tier 2 Instruments e.g. subordinated loan (After grandfathering and/or amortization)	Note 23 of Financial statements (90% grandfathering)	361,782
3.2 Other Tier 2 capital (including General Provisions, etc.) 1	Note 25 (v) - Capped at 1.25% of CRWA	5,340,017
Total T2 Capital		**5,701,799**
Total Regulatory Capital		**77,394,707**

3. CAPITAL ADEQUACY

All numbers in AED 000s

Quantitative Disclosures			
Capital Requirement			
	RWA	**Capital Charge**	**Capital Ratio%**
1. Credit Risk - Standardized Approach	**427,201,365**	**53,400,171**	
2. Market Risk - Standardized Approach	**29,475,312**	**3,684,414**	
3. Operation Risk	**35,696,011**	**4,462,001**	
a. Basic Indicator Approach			
b. Standardised Approach/ASA	35,696,011	4,462,001	
c. Advanced Measurement Approach			
Total Capital requirements	**492,372,688**	**61,546,586**	
Capital Ratio			
a. CET1 ratio only for top consolidated Group			**12.4%**
b. Tier 1 ratio only for top consolidated			**14.6%**
c. Total for Top consolidated Group			**15.7%**

4(a). Qualitative Disclosures - Risk Management

Definition of past due and impaired (for accounting purposes)

The Group considers a financial asset to be in default when:
- The borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held);
- For retail, a facility or any material credit obligation to the Group is more than 90 days past due;
- Overdrafts are considered as being past due once the customer has breached an advised limit or been advised of a limit smaller than the current amount outstanding.

Description of approaches followed for specific and general allowances and statistical methods
Specific

Under IFRS9, equivalent of CBUAE Specific Provision is Stage 3 ECL, which is the allowance that captures the lifetime expected credit losses for impaired assets. The Bank reviews its impaired assets on a regular basis to assess the amount of Stage 3 ECL required to be recorded in the consolidated income statement. As per the CBUAE notice no. CBUAE/BSD/2018/458 dated 30 April 2018, clause 6.4, if the CBUAE specific provision and general/collective provision cumulatively is higher than the impairment allowance computed under IFRS 9, the differential should be transferred to an "Impairment Reserve" as an appropriation from the Retained earnings. This Impairment Reserve should be split to that which relates to difference in specific provision and general/collective provision.

To assess the amount of specific provision required for Stage 3 assets the Bank follows UAE Central Bank circular 28/2010 wherein specific provisions are taken for 'Substandard', 'Doubtful' and 'Loss' grades as per the circular.

General

Under IFRS9, equivalent of CBUAE General Provision is Stage 1 and Stage 2 ECL, which is measured based on the extent of credit deterioration since origination as described below:
- Stage 1 – Where there has not been a significant increase in credit risk (SICR) since initial recognition of a financial instrument, an amount equal to 12 months expected credit loss is recorded. The expected credit loss is computed using a probability of default occurring over the next 12 months. For those instruments with a remaining maturity of less than 12 months, a probability of default corresponding to remaining term to maturity is used.
- Stage 2 – When a financial instrument experiences a SICR subsequent to origination but is not considered to be impaired, i.e. Stage 3, it is included in Stage 2. This requires the computation of expected credit loss based on the probability of default over the remaining estimated life of the financial instrument.

As per the CBUAE notice no. CBUAE/BSD/2018/458 dated 30 April 2018, the Bank compares the IFRS9 ECL for Stage 1 and Stage 2 with the CBUAE General Provision requirement which is calculated as per the UAE Central Bank circular 28/2010 based on the total Credit Risk Weighted Assets (CRWA) and accordingly create an Impairment Reserve.

Discussion of Bank's credit risk management policy

Credit risk identification and assessment at FAB Group is carried out through a comprehensive mechanism comprising three levels of defense. The first level of defense lies with the business units and is responsible for maintaining a sound credit quality of assets in line with the approved business strategy and credit risk appetite. The second level of defense is with the Group Credit Unit that assesses the risk on a customer & facility level and ensures proper documentation of customer, facility and security documents along with Group Risk management unit that assesses credit risk on a portfolio basis and maintains credit risk policies and credit risk rating models up to date. Internal Audit acts as a third level of defense with regular reviews of credit analysis and the risk functions to check the compliance with policies and procedures of the Group. The unit also reviews the policy documents on a regular basis. For further details on the Bank's risk management framework please refer to Note 5 in the consolidated financial statements.

Partial adoption of Foundation IRB / Advanced IRB

Approach	Description of exposures	Plans and timing of migration to implement fully higher approach
Standardized Approach	As per Basel Categorization	FAB is already on Standardized approach.
Foundation IRB	As per Basel Categorization	In addition to the RWA calculation as per the Standardized approach of Basel, the Bank also has completed development and testing of new generation CIB models for entire FAB portfolio. The models are scheduled to be deployed on rating platform during 2019. The bank also has the model validation process duly approved by Group Risk Committee. In the CIB portfolio, the Bank has ORR / PD models for major industries in Corporate portfolio, Banks & FI model, NBFC model, High Networth Individual model, Commercial clients model (Mid sized SMEs) and Specialized Lending model suite. Most of these models have been built and validated on Bank's own portfolio data while the Banks / FI, NBFC and Specialized lending models have been sourced externally. Detailed documentation pertaining to model development, testing, validation, use-testing and governance are under development. In the PB portfolio, the bank has completed development of score cards for significant portfolios, i.e., Credit Card & Personal Loans. The models for other segments: Auto Loans, Mortgages, Overdrafts, Business Loans are under development for the new bank. Bank has developed application and behavioral scorecards for these portfolios to enable initial assessment as well as ongoing credit programs for existing customers.
Advanced IRB	As per Basel Categorization	Currently the Bank doesn't have in house models for LGD and EAD modeling for its portfolio. The models required for IFRS 9 purposes have been externally sourced. The in house models for the same shall be planned as per CBUAE timelines and as per Bank's internal planning for AIRB transition.

4(b). Gross Credit Exposure by Currency

All numbers in AED 000s

Currency	Loans	Debt Securities	Other Exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk Exposure	without ccf	with ccf		
Foreign Currency	209,716,978	101,654,864	198,002,741	509,374,583	38,095,986	11,384,621	1,860,308,923	12,471,118	26,146,711	111,044,715	49,346,455	86,877,787	596,252,371
AED	157,339,513		42,622,431	199,961,944	7,563,616	1,756,570	81,633,354	613,075	1,513,866	54,090,259	24,843,745	28,114,181	228,076,126
Provisions	(13,851,263)			(13,851,263)	-	-	-	-	-				(13,851,263)
Total	**353,205,228**	**101,654,864**	**240,625,173**	**695,485,265**	**45,659,602**	**13,141,191**	**1,941,942,277**	**13,084,192**	**27,660,577**	**165,134,974**	**74,190,201**	**114,991,969**	**810,477,234**

4(c). Gross Credit Exposure by Geographical Distribution

All numbers in AED 000s

Geographical Region	Loans	Debt Securities	Other Exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet Exposures		Total Non Funded (Credit Risk Exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
United Arab Emirates	230,883,880	37,151,221	61,660,614	329,695,715	24,865,542	5,549,705	230,018,491	1,726,108	3,944,064	118,693,398	48,245,910	57,739,678	387,435,393
GCC excluding UAE	20,674,736	14,655,815	7,043,610	42,374,161	3,868,557	1,144,948	122,844,540	806,622	2,018,604	5,379,230	2,359,333	5,522,885	47,897,047
Arab League (excluding GCC)	8,844,073	3,488,410	10,127,189	22,459,672	334,406	136,668	11,248,287	155,546	229,282	1,587,782	812,366	1,178,316	23,637,988
Asia	31,483,051	15,633,065	3,219,718	50,335,833	3,659,085	1,407,713	68,348,145	1,302,345	1,514,558	7,755,276	3,639,218	6,561,490	56,897,323
Africa	2,976,785	556,552	1,270,234	4,803,571	1,400,331	286,953	298,268	2,644	5,627	122,546	62,611	355,191	5,158,762
North America	9,235,637	10,658,654	61,876,807	81,771,098	2,750,811	1,209,828	3,584,195	4,842	38,382	11,488,551	7,444,099	8,692,310	90,463,407
South America	20,359,434	222,842	87,100	20,669,377	284,658	56,932	21,162,439	110,181	285,389	467,644	308,563	650,883	21,320,260
Caribbean	353,783		132,660	486,443	841,162	168,232	-	-	12,713	-	-	180,945	667,389
Europe	40,954,112	18,711,497	95,117,296	154,782,905	7,422,210	3,063,790	1,478,031,230	8,975,904	19,536,920	19,593,289	11,296,530	33,897,240	188,680,146
Australia	1,290,897	576,808	89,945	1,957,650	232,841	116,420	6,406,682	-	75,039	-	-	191,459	2,149,108
Others	102		-	102	-	-	-	-	-	47,258	21,570	21,570	21,673
Provisions	(13,851,263)			(13,851,263)	-	-	-	-	-	-	-		(13,851,263)
Total	**353,205,228**	**101,654,864**	**240,625,173**	**695,485,265**	**45,659,602**	**13,141,191**	**1,941,942,277**	**13,084,192**	**27,660,577**	**165,134,974**	**74,190,201**	**114,991,969**	**810,477,233**

4(d). Gross Credit Exposure by Industry Segment

All numbers in AED 000s

Industry Segment	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Agriculture, Fishing & Related activities	313,175		1,549	314,724	-	-	7,304,919	10,675	110,534	64,986	28,308	138,842	453,566
Crude Oil, Gas, Mining & Quarrying	27,799,031	10,000,630	401,138	38,200,798	5,543,524	1,353,355	6,609,693	110,412	156,987	3,665,342	1,938,250	3,448,591	41,649,389
Manufacturing	23,949,920	173,033	720,046	24,842,999	5,704,950	1,818,960	17,663,944	1,148,809	702,526	16,874,142	10,212,074	12,733,560	37,576,559
Electricity & Water	7,275,326	4,034,074	54,367	11,363,766	2,175,377	474,457	5,342,415	534,356	611,060	3,625,256	2,745,231	3,830,749	15,194,515
Real Estate & Construction	106,055,727	1,479,741	1,052,204	108,587,672	8,349,288	3,268,156	18,653,558	208,873	707,611	43,987,136	23,604,107	27,579,874	136,167,546
Trade	22,882,591	75,938	2,568,793	25,527,322	2,686,769	658,326	22,550,026	145,985	447,132	12,242,586	5,528,343	6,633,801	32,161,124
Transport, Storage & Communication	25,337,423	4,670,975	192,183	30,200,580	3,702,437	951,147	18,993,161	349,616	683,298	8,098,105	4,509,393	6,143,838	36,344,418
Financial Services	57,316,389	36,803,006	50,277,307	144,396,702	3,718,900	1,147,654	1,770,661,903	9,784,743	22,621,324	20,472,868	11,244,720	35,013,698	179,410,400
Other Services	22,351,610	101,649	1,747,432	24,200,691	6,187,837	1,702,330	72,713,871	642,769	1,455,628	10,883,709	5,247,406	8,405,364	32,606,055
Government	5,780,419	44,315,819	181,735,082	231,831,320	6,610,027	1,322,005	1,155,833	147,349	156,085	45,158,361	9,095,775	10,573,866	242,405,186
Retail / Consumer Banking	67,551,820		828,302	68,380,122	980,495	444,801	292,955	606	8,392	62,482	36,593	489,787	68,869,909
All Others	443,061		1,046,769	1,489,831	-	-	-	-	-	-	-	-	1,489,831
Provisions	(13,851,263)			(13,851,263)	-	-	-	-	-	-	-	-	(13,851,263)
Total	**353,205,228**	**101,654,864**	**240,625,173**	**695,485,265**	**45,659,602**	**13,141,191**	**1,941,942,277**	**13,084,192**	**27,660,577**	**165,134,974**	**74,190,201**	**114,991,969**	**810,477,233**

4(e). Gross Credit Exposure by Residual Contract Maturity

All numbers in AED 000s

Residual Maturity	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTCDerivatives			Other Off Balance Sheet Exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Less than 3 months	72,847,544	7,103,777	207,080,395	287,031,716	12,887,474	3,363,843	427,178,842	1,532,117	4,231,206	75,782,817	40,399,487	47,994,535	**335,026,251**
3 months to one year	49,905,144	9,551,659	28,861,627	88,318,430	23,726,362	5,254,465	532,484,103	1,705,972	3,388,493	19,340,637	8,728,913	17,371,871	**105,690,301**
One to five years	137,529,725	44,066,779	4,266,280	185,862,784	8,647,611	4,323,806	694,138,390	5,207,297	19,617,531	43,040,599	15,366,901	39,308,238	**225,171,022**
Over five years	106,774,078	40,932,650	416,870	148,123,598	398,154	199,077	288,140,942	4,638,806	423,348	26,970,921	9,694,899	10,317,324	**158,440,922**
Provisions	(13,851,263)			(13,851,263)			-	-	-			-	**(13,851,263)**
Grand Total	**353,205,228**	**101,654,864**	**240,625,173**	**695,485,265**	**45,659,602**	**13,141,191**	**1,941,942,277**	**13,084,192**	**27,660,577**	**165,134,974**	**74,190,201**	**114,991,969**	**810,477,233**

4(f). Impaired Loans by Industry Segment

All numbers in AED 000s

Industry Segment	Overdue / Impaired Assets			Provisions			Adjustments	
	Overdue	Impaired Assets	Total Funded	IIS	Stage 3	Stage 1 & 2	Writeoffs	Write Backs
Agriculture, Fishing & Related activities	385	1,477	1,862	65	1,469	3,122	430	-
Crude Oil, Gas, Mining & Quarrying	-	-	-	-			-	-
Manufacturing	217,864	452,119	669,983	29,279	268,395	229,710	278,441	-
Electricity & Water	4,810	80,830	85,640	1,507	30,316	480,057	23,836	-
Real Estate & Construction	7,037,297	5,454,386	12,491,683	1,093,327	1,975,713	2,183,630	581,063	-
Trade	335,546	1,491,210	1,826,756	104,921	950,142	250,770	886,533	-
Transport, Storage & Communication	137,559	153,271	290,830	65,301	76,465	73,312	46,220	-
Financial Services	31,629	302,490	334,119	10,713	154,491	243,657	101,836	-
Other Services	886,928	437,939	1,324,867	68,426	267,794	318,340	526,804	-
Government (including Public Sector)	8,698	10,080	18,778	395	9,758	2,355	-	-
Retail / Consumer Banking	3,581,006	5,044,459	8,625,465	587,615	2,531,765	1,792,066	2,420,053	-
All Others	169,095	38,087	207,181	6,465	28,193	11,726	25,330	-
Total	**12,410,817**	**13,466,347**	**25,877,164**	**1,968,015**	**6,294,502**	**5,588,746**	**4,890,545**	**-**

To mitigate credit risk emanated from impaired loans Bank hold various type of collateral in the form of lien over deposits, cash margins, equities, bank guarantees, machinery & equipment, mortgaged properties, motor vehicles, shipping vessels, aircrafts etc. As of year end 2018, 60% of impaired loans (AED 8.2B) are covered by a collateral coverage of up to 50%. The remaining 40% (AED 5.3B) impaired loans have a collateral coverage of 50% and above.

4(g). Impaired Loans by Geographical Distribution

All numbers in AED 000s

Geographical Region	Overdue / Impaired Assets			IIS	Provisions		Adjustments	
	Overdue	Impaired Assets	Total Funded		Stage 3	Stage 1 & 2	Writeoffs	Write Backs
United Arab Emirates	11,544,794	12,095,271	23,640,065	1,842,871	5,480,729	4,711,806	4,338,995	
GCC excluding UAE	686,784	951,652	1,638,437	79,022	584,985	241,111	77,276	
Arab League (excluding GCC)	72,910	239,866	312,776	44,671	107,264	44,649	2	
Asia	100,705	123,981	224,686	-	90,873	552,084	376,048	
Africa	2	-	2	-	-	10,142	22,084	
North America	1,436	3,526	4,962	27	15	2,452	-	
South America	-	2	2	-	2	2,165	-	
Caribbean	3,492	-	3,492	-	-	5,086	-	
Europe	687	52,048	52,735	1,424	30,635	19,128	76,139	
Australia	7	-	7	-	-	125	-	-
Total	**12,410,817**	**13,466,347**	**25,877,164**	**1,968,015**	**6,294,502**	**5,588,746**	**4,890,545**	**-**

4(h). Reconciliation of changes in Provisions for Impaired Loans

All numbers in AED 000s

	Description	
	Opening Balance of Provisions for Impaired Loans	**12,728,111**
Add:	Charge for the year	
	• Corporate, Retail Specific provisions	1,344,588
	• Corporate, Retail and International Division General provisions	469,235
	• Impact of Accounting Policy alignment	3,099,954
Less:	Write-off of impaired loans	(4,872,678)
Less:	Recovery of loan loss provisions	
Less:	Recovery of loans previously written-off	-
Less:	Notional Interest on Impaired Loans & Advances	
Less:	Write-back of provisions for loans	
	Adjustments of loan loss provisions (acquired in business combination)	
	Closing Balance of Provisions for Impaired Loans	**12,769,210**

4(i). Basel II Portfolio as per Standardized Approach

All numbers in AED 000s

ASSET CLASSES	ON BALANCE SHEET			OFF BALANCE SHEET	EXPOSURE BEFORE CRM AFTER CCF*	CREDIT RISK MITIGATION (CRM)			RISK WEIGHTED ASSETS
See Basel II, June 2006, Para 50 to 81, and Central Bank National Discretions	GROSS OUTSTANDING	Interest in Suspense and Specific Provisions	NET OUTSTANDING	NET EXPOSURE AFTER CREDIT CONVERSION FACTORS (CCF)		CRM	EXPOSURE AFTER CRM AND CCF	Reduction in RWA through Guarantees held as CRM	
CLAIMS ON SOVEREIGNS	245,118,675	-	245,118,675	10,200,936	255,319,610	3,237,569	252,082,041		10,404,663
CLAIMS ON NON-CENTRAL GOVERNMENT PUBLIC SECTOR ENTITIES (PSEs)	3,111,700	-	3,111,700	1,948,160	5,059,860	-	5,059,860		-
CLAIMS ON MULTI LATERAL DEVELOPMENT BANKS	3,463,337	-	3,463,337	33,683	3,497,020	-	3,497,020		716,601
CLAIMS ON BANKS	114,881,241	-	114,881,241	22,897,705	137,778,946	56,504,807	81,274,140		44,699,772
CLAIMS ON SECURITIES FIRMS	4,533,508	-	4,533,508	7,324,862	11,858,369	8,136,376	3,721,993	-	2,155,697
CLAIMS ON CORPORATES	216,212,766	346,257	215,866,509	69,043,260	284,909,770	12,403,629	272,506,140	4,080,928	237,986,105
CLAIMS INCLUDED IN THE REGULATORY RETAIL PORTFOLIO	56,123,185	329,952	55,793,232	483,704	56,276,936	2,761,670	53,515,265	1,276,432	43,595,614
CLAIMS SECURED BY RESIDENTIAL PROPERTY	15,350,549	82,188	15,268,361	-	15,268,361	62,464	15,205,897		7,437,672
CLAIMS SECURED BY COMMERCIAL REAL ESTATE	59,234,395	236,424	58,997,970	1,367,464	60,365,435	2,169,065	58,196,369	-	58,196,369
PAST DUE LOANS	12,031,244	6,782,305	5,248,939	-	5,248,939	184,876	5,064,063	-	5,987,261
HIGHER-RISK CATEGORIES	1,905,592	-	1,905,592	772,322	2,677,914	-	2,677,914	-	4,016,871
OTHER ASSETS	23,910,516	195	23,910,321	401	23,910,722	-	23,910,722	-	11,074,637
CLAIMS ON SECURITISED ASSETS	3,961,436	-	3,961,436	-	3,961,436	-	3,961,436	-	930,104
CREDIT DERIVATIVES (Banks Selling protection)	-	-	-	-	-	-	-	-	-
TOTAL CLAIMS	**759,838,142**	**7,777,322**	**752,060,820**	**114,072,497**	**866,133,317**	**85,460,457**	**780,672,861**	**5,357,360**	**427,201,365**

CRM includes collateral in the form of cash, equities and financial guarantees

5. Basel II Portfolio as per Standardized Approach (Rated / Unrated)

All numbers in AED 000s

Asset Class	ON BALANCE SHEET				OFF BALANCE SHEET			EXPOSURE BEFORE CRM			CRM	EXPOSURE AFTER CRM			Reduction in RWA through Guarantees held as CRM	RWA		
	GROSS	NET			NET EXPOSURE AFTER CREDIT CONVERSION FACTORS (CCF)													
	Total	Rated	Unrated	Total	Rated	Unrated	Total	Rated	Unrated	Total	Total	Rated	Unrated	Total	Total	Rated	Unrated	Total
CLAIMS ON SOVEREIGNS	245,118,675	237,039,740	8,078,935	245,118,675	10,200,936	-	10,200,936	247,240,675	8,078,934.69	255,319,610	3,237,569	247,240,675	4,841,365	252,082,041	0	5,481,425	4,923,237	10,404,663
CLAIMS ON NON-CENTRAL GOVERNMENT PUBLIC SECTOR ENTITIES (PSEs)	3,111,700	1,564,254	1,547,447	3,111,700	0	1,948,160	1,948,160	1,564,254	3,495,607	5,059,860	0	1,564,254	3,495,607	5,059,860	0	0	0	0
CLAIMS ON MULTI LATERAL DEVELOPMENT BANKS	3,463,337	2,293,809	1,169,528	3,463,337	0	33,683	33,683	2,293,809	1,203,211	3,497,020	0	2,293,809	1,203,211	3,497,020	0	716,601	0	716,601
CLAIMS ON BANKS	114,881,241	106,635,747	8,245,494	114,881,241	20,013,261	2,884,444	22,897,705	126,649,009	11,129,938	137,778,946	56,504,807	70,144,202	11,129,938	81,274,140	0	40,783,536	3,916,235	44,699,772
CLAIMS ON SECURITIES FIRMS	4,533,508	4,108,887	424,621	4,533,508	7,239,929	84,933	7,324,862	11,348,816	509,553	11,858,369	8,136,376	3,212,440	509,553	3,721,993	0	1,646,143	509,553	2,155,697
CLAIMS ON CORPORATES	216,212,766	45,795,525	170,070,984	215,866,509	13,780,756	55,262,504	69,043,260	59,576,281	225,333,488	284,909,770	12,403,629	59,576,281	212,929,859	272,506,140	4,080,928	23,282,191	214,703,914	237,986,105
CLAIMS INCLUDED IN THE REGULATORY RETAIL PORTFOLIO	56,123,185	0	55,793,232	55,793,232	0	483,704	483,704	0	56,276,936	56,276,936	2,761,670	0	53,515,265	53,515,265	1,276,432		43,595,614	43,595,614
CLAIMS SECURED BY RESIDENTIAL PROPERTY	15,350,549	0	15,268,361	15,268,361	0	-	0	0	15,268,361	15,268,361	62,464	0	15,205,897	15,205,897	0		7,437,672	7,437,672
CLAIMS SECURED BY COMMERCIAL REAL ESTATE	59,234,395	0	58,997,970	58,997,970	0	1,367,464	1,367,464	0	60,365,435	60,365,435	2,169,065	0	58,196,369	58,196,369	0		58,196,369	58,196,369
PAST DUE LOANS	12,031,244	0	5,248,939	5,248,939	0	-	0	0	5,248,939	5,248,939	184,876	0	5,064,063	5,064,063	0		5,987,261	5,987,261
HIGHER-RISK CATEGORIES	1,905,592	0	1,905,592	1,905,592	0	772,322	772,322	0	2,677,914	2,677,914	0	0	2,677,914	2,677,914	0		4,016,871	4,016,871
OTHER ASSETS	23,910,516	9,986,194	13,924,126	23,910,321	0	401	401	9,986,194	13,924,527	23,910,722	0	9,986,194	13,924,527	23,910,722	0	109,774	10,964,863	11,074,637
CLAIMS ON SECURITISED ASSETS	3,961,436	3,961,436	0	3,961,436	0	-	0	3,961,436	0	3,961,436	0	3,961,436	0	3,961,436	0	930,104		930,104
CREDIT DERIVATIVES (Banks Selling protection)	0	0	0	0	0	-	0	0	0	0	0	0	0	0	0			0
Grand Total	**759,838,142**	**411,385,592**	**340,675,229**	**752,060,820**	**51,234,882**	**62,837,615**	**114,072,497**	**462,620,474**	**403,512,843**	**866,133,317**	**85,460,457**	**397,979,291**	**382,693,569**	**780,672,861**	**5,357,360**	**72,949,775**	**354,251,591**	**427,201,365**

6. Credit Risk Mitigation - Disclosures for Standardized Approach

All numbers in AED 000s

Quantitative Disclosures		Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	866,133,317	
Less:	Exposure covered by on-balance sheet netting	20,625,208	
Less:	Exposures covered by Eligible Financial Collateral	64,835,249	
Less:	Exposures covered by Guarantees	7,121,142	1,763,782
Less:	Exposures covered by Credit Derivatives	-	
	Net Exposures after Credit Risk Mitigation	**775,315,501**	**427,201,365**

7. Counterparty Credit Risk Exposure

All numbers in AED 000s

Asset Class	FX and Gold			IRS			Equities			Commodities		
	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure
Claims on Sovereigns	273,753	37	2,738	678,343	145,910	10,175	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Multilateral development banks	773,266	5,521	7,733	550,950	17,675	2,755	-	-	-	-	-	-
Claims on Banks	439,693,734	1,608,992	5,592,284	626,250,660	3,588,959	3,301,241	946,445	7,473	56,808	2,963,983	69,116	367,405
Claims on Securities Firms	716,910	-	19,408	660,338,571	4,115,996	3,092,180	-	-	-	-	-	-
Claims on Corporate	52,728,642	310,390	1,000,576	146,402,381	2,150,195	1,133,594	144,023	1,030	8,641	1,905,266	544,467	197,920
Regulatory & Other Retail Exposure	88,937	98	889	1,151,942	5,252	12,720	-	-	-	25,344	-	3,434
Residential Retail Exposure	-	-	-	-	-	-	-	-	-	-	-	-
Commercial Real Estate	-	-	-	-	-	-	-	-	-	-	-	-
Past Due Assets	-	-	-	-	-	-	-	-	-	-	-	-
High Risk Category	-	-	-	-	-	-	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Securitised Assets	-	-	-	-	-	-	-	-	-	-	-	-
Credit Derivatives (Banks selling protection)	-	-	-	-	-	-	-	-	-	-	-	-
Grand Total	**494,275,241**	**1,925,039**	**6,623,627**	**1,435,372,846**	**10,023,987**	**7,552,664**	**1,090,469**	**8,504**	**65,449**	**4,894,593**	**613,583**	**568,759**

8. Market Risk - Capital Requirements under Standardized Approach

All numbers in AED 000s

Market Risk	**Amount**
Interest rate risk	1,765,536
Equity position risk	64,380
Foreign exchange risk	386,165
Commodity risk	4,329
Options Risk	874,502
Total Capital Requirement	**3,094,912**

9. Equity Position

All numbers in AED 000s

As at 31 December 2017, the bank's total equity investment portfolio amounted to AED 2,400 M, 19.3% of which represents quoted investments. For details of the accounting policies and valuation methodology, please refer to Note 2 to the consolidated financial statements under 'Significant Accounting Policies'. Details of cost, market and fair value are reported in Note 5 to the consolidated financial statements under "Investments".

b) Quantitative Disclosures

1. QUANTITATIVE DETAILS OF EQUITY POSITION:				
Type	**Current Year**		**Previous Year**	
	Publicly Traded	**Privately Held**	**Publicly Traded**	**Privately Held**
Equities	325,796	146,834	450,356	234,364
Collective investment schemes	14,257	1,813,065	11,743	1,703,524
Any other investment	0	0	0	0
Total	**340,053**	**1,959,899**	**462,099**	**1,937,888**

2. REALISED, UNREALISED AND LATENT REVALUATION GAINS (LOSES) DURING THE YEAR:	
Gains (Losses)	**Amount**
Realised gains (losses) from sales and liquidations	-
*Unrealised gains (losses) recognised in the balance sheet but not through profit and loss account	27,576
**Latent revaluation gains (losses) for investment recorded at cost but not recognised in balance sheet or profit and loss account	
Total	**27,576**

3. ITEMS IN (2) ABOVE INCLUDED IN TIER 1/TIER 2 CAPITAL:	
Tier Capital	**Amount**
Amount included in Tier I capital	-
Amount included in Tier II capital	27,576
Total	**27,576**

4. CAPITAL REQUIREMENTS BY EQUITY GROUPINGS:	
Grouping	**Amount**
Strategic investments	12,429
Available for sale	59,440
Held for trading	601,680
Total capital requirement	**673,549**

10. Interest Rate Risk in the Banking Book

All nos in AED 000s

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. The Bank is exposed to interest rate risk as a result of mismatches or gaps in the amounts of interest rate sensitive assets and interest rate sensitive liabilities and off balance sheet instruments that mature or reprice in a given period. Interest rate risks in the Bank are managed under a framework comprising Risk Governance and Risk Appetite. The Risk Governance includes the ALM policy (approved by the Board) within the ambit of ERM policy framework. The Bank uses a combination of duration gap analysis and scenario analysis pertaining to impact of changes in interest rates on Net Interest Income and Value of Equity to manage these risks which are reviewed and monitored by ALCO.

Interest rate risk is also assessed by measuring the impact of defined movements in interest yield curves on the Bank's net interest income. The following impact on the net interest income and regulatory capital is for the year in case of an immediate and permanent movement in interest yield curves.

Shift in Yield Curves	Net Interest Income	Regulatory Capital
+200 basis point	1,888,333	(2,131,431)
- 200 basis point	(1,888,333)	2,131,431

The above interest rate sensitivities are illustrative only and adopt simplified scenarios. The sensitivities do not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.